

M/I Homes (NYSE: MHO)

Initiation of coverage — Neutral, \$164 price target

2026-09-04

Rating	Target	Price	Return	Mkt cap	Bull / bear
Neutral	\$164	\$148.26	+11%	\$3.7bn	184 / 90

I just moved to North Carolina for my graduate education. I'm not alone: in the year to July 2025 North Carolina gained a net 84,000 residents from other states, more than any other state. Given my previous work in housing, I was curious whether this presented an opportunity for homebuilders, and investors, to capitalize on new demand. I identified M/I Homes as a mid-cap builder with a large enough presence in the region for the influx of new arrivals to move the needle.

The call

I am initiating on M/I Homes at **Neutral** with a **\$164 price target**, about 11% above the current price. This is a well-run builder in a net cash position, retiring roughly 5% of its shares a year, and at 1.16× book it is not expensive. But its return on equity has fallen from 19.2% in 2024 to 9.4% on trailing numbers, and a builder's book multiple is close to a restatement of its return on book. At an 11.5% cost of equity, today's multiple already pays for a normalized ROE of about 12.8%. My base case reaches 12.2% by 2029. The recovery is largely in the price.

The more interesting finding is underneath the rating, and it's the opposite of what I expected. In 2025 the Southern segment, Raleigh and Charlotte alongside Florida and Texas, saw its operating margin fall from 18.1% to 10.4%. The Northern segment, the Midwest business the market treats as a legacy drag, held at 14.7%. The growth region stopped carrying the profit and loss.

Demand is real. Margin is the problem.

That net inflow is real, but it is slowing: 2025 was about 81% of the 2020–21 peak; and more importantly, arrivals are not clearing at the price builders want. House price indices for Raleigh and Charlotte rose just 0.4% and 1.1% over the three quarters to Q2 2026: flat in nominal terms, down in real terms, in the state everyone is moving to.

This was not a rate shock. The 30-year fixed mortgage averaged 6.80% in 2024 and 6.72% in 2025, eight basis points apart. Southern cost per home barely moved. Essentially the whole margin decline was price handed back at the closing table.

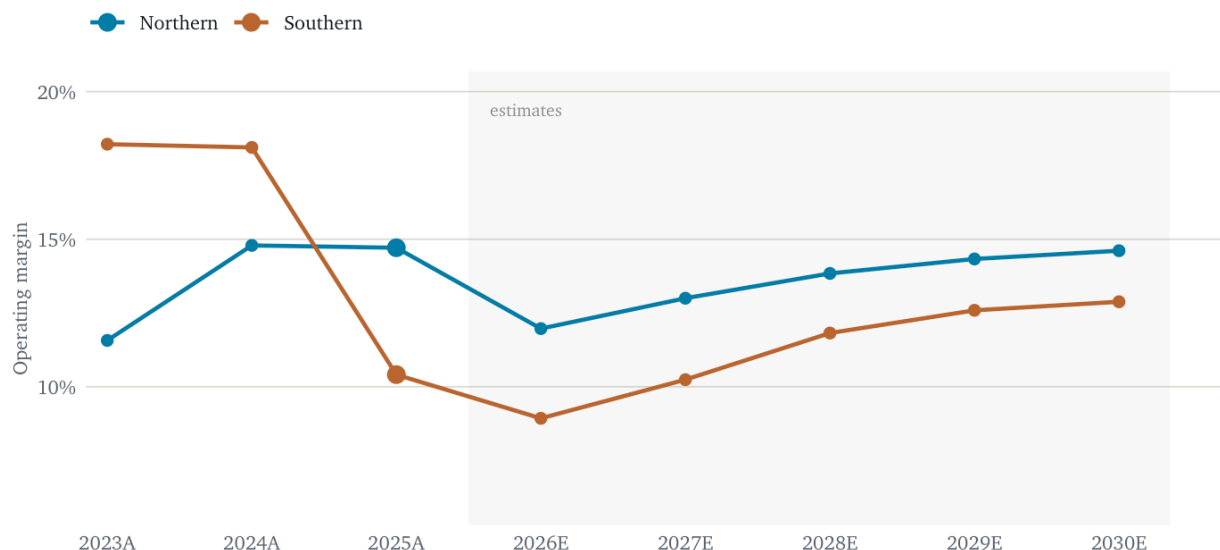


Figure 1: Segment operating margin. Northern has been flat for two years; Southern lost nearly 800bp in one. My base case does not restore Southern to its 2024 level within the forecast. Source: FY2025 10-K segment note; estimates my own.

Splitting the Southern segment into price and cost settles the question. Cost per home, adjusted for the \$41m of Southern inventory write-offs taken in 2025, went from \$361k to \$362k over two years. Average selling price fell more than \$27k. There is no cost story here.

Table 2: Unit economics by region, \$ thousands per home delivered, excluding write-offs

Region	Metric	2023A	2024A	2025A	2026E	2027E	2028E
Southern	Net average selling price	488.7	480.2	461.5	443.1	456.3	474.1
	Cost per home	361.2	352.3	362.0	360.9	368.1	376.6
	Gross profit per home	127.5	127.9	99.5	82.2	88.2	97.5
	Gross margin	26.1%	26.6%	21.6%	18.5%	19.3%	20.6%
Northern	Net average selling price	480.9	490.6	508.7	501.9	517.2	533.4
	Cost per home	387.8	382.2	395.2	395.2	403.9	413.6
	Gross profit per home	93.1	108.4	113.5	106.7	113.3	119.8
	Gross margin	19.4%	22.1%	22.3%	21.2%	21.9%	22.5%

This was an important lesson for me, because I came into this project with the assumptions of the Portland, OR housing market in place. But the Southeast generally has much laxer zoning and permitting codes than the West Coast, which allows the market to quickly respond to the influx of demand with more construction, apparently even to the point of oversaturation. From a policy perspective it's a success story, but unfortunately MHO was not positioned to profit from that success.

How I built the forecast

Revenue is built region by region, deliveries times average selling price for Northern and Southern separately, rather than off a blended growth rate, because I'm interested in regional trends. Gross margin is what is left

after an incentive load reduces the realized price and a separately-driven cost per home is subtracted.

Incentive load is a base rate, plus a slope against the mortgage rate above a 5.5% neutral level, plus an explicit competition premium. That third term is necessary because rates were flat between 2024 and 2025 while the Southern margin collapsed, so a rate-only model cannot reproduce what actually happened.

The 2026 estimate is pinned to reported first-half results: 4,120 deliveries, \$5.57 of EPS, a \$459k average price. My full year of \$11.89 implies a second half about 8% ahead of the first, against an actual 6% step in 2025.

Table 3: 2027E diluted EPS: mortgage rate (rows) against Southern competition premium (columns)

	2.0pp	3.5pp	4.6pp	6.0pp	7.5pp
5.50%	17.82	16.74	15.94	14.93	13.85
6.00%	17.14	16.05	15.26	14.25	13.17
6.35%	16.66	15.58	14.78	13.77	12.69
6.75%	16.11	15.03	14.24	13.22	12.14
7.25%	15.43	14.35	13.55	12.54	11.46

Read that grid across, not down. Moving the mortgage rate over its whole range shifts 2027 EPS by about \$2.39. Moving the competition premium over its range shifts it by \$3.97. The competitive variable matters more than the Fed, which is the opposite of how this sector is usually discussed.

Whose numbers these are

M/I Homes publishes no quantitative guidance; no delivery, revenue, margin or EPS target appears in either the FY2025 or the Q2 2026 release. Every forecast here is mine. Only four analysts cover the stock, so consensus is thin, but it is the one external check available:

Table 4: My estimates against consensus

Metric	Mine	Consensus	Range
2026E revenue	\$4.15bn	\$4.20bn	—
2026E EPS	\$11.89	\$12.32	\$11.96–\$13.34
2027E EPS	\$14.78	\$15.41	\$14.24–\$16.49
Price target	\$164	\$170.67	—
Rating	Neutral	Buy	—

I sit below the street on both years and on the target, consistently rather than dramatically. My 2026 number is marginally below the lowest published estimate, which follows directly from not assuming a second-half margin inflection.

i How much of the recovery is mine to defend. Of the \$2.89 of 2027 EPS growth over 2026, \$1.08 is extrapolation of reported trends: volume, price, cost and the buyback. \$0.41 is my mortgage-rate decline. And \$1.40, roughly half, is the Southern competition premium decaying. I think it's a fair assumption because the current situation is an anomaly, but there's still no way to verify it until it happens. That is why the sensitivity grid matters more than the point estimate.

Valuation

I ran a DCF and a comparables analysis separately, and they disagree. The DCF, at a 10.48% WACC and 2.5% terminal growth, gives \$136.57 today — below the market. The unadjusted peer median price-to-book of 1.40× gives about \$190.

The DCF is low because a builder's earnings recovery does not reach shareholders. My base case grows NOPAT from \$299m in 2026 to \$539m in 2030, but land and homes under construction absorb roughly \$200m a year over the same period. Growth, for a builder, consumes cash.

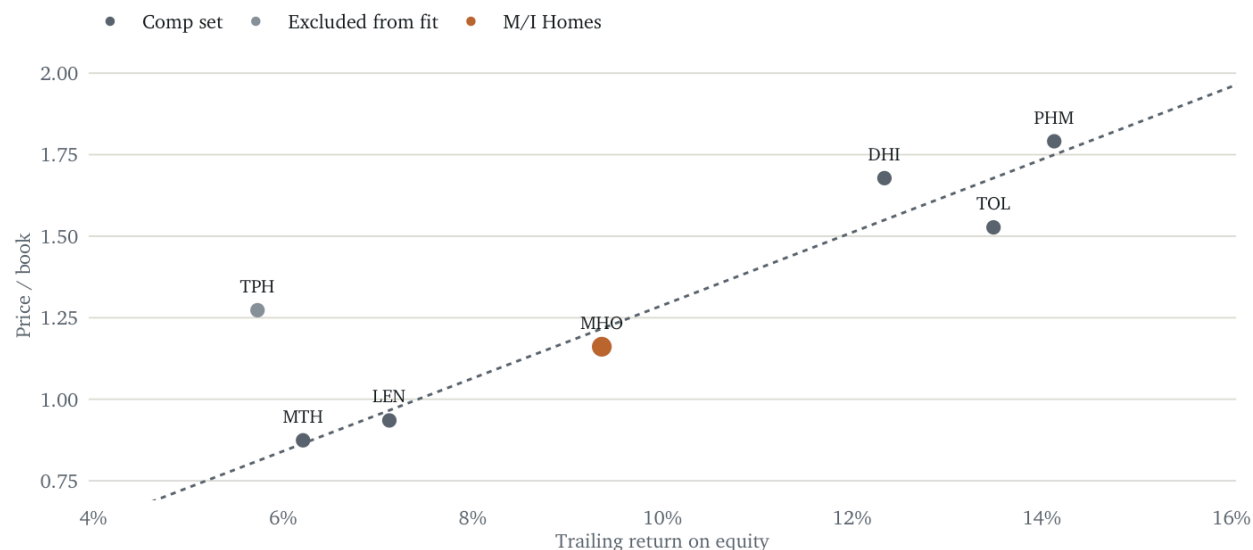


Figure 2: Book multiple against trailing return on book. Fitted on five peers; Tri Pointe is excluded because its 22× P/E signals trough earnings, so its book multiple is not describing its current return. The fit is tight partly because $P/B = P/E \times ROE$ is an identity — see the note below. Prices 4 September 2026; equity from each company's most recent 10-Q.

Table 5: Valuation summary — three independent views

Method	Value	vs price	Weight
Discounted cash flow	\$152	+3%	35%
Relative multiple (P/B on 2027E ROE)	\$184	+24%	40%
Justified P/B (residual income)	\$147	-1%	25%
Weighted price target	\$164	+11%	100%

i One caveat on the fit. Price-to-book equals $P/E \times ROE$ by definition, so a tight relationship here is partly arithmetic: forcing the slope to the mean peer P/E with no fitting at all already gives an R^2 of 0.916. What the chart really shows is that peer earnings multiples cluster tightly ($11.32\times$ to $14.07\times$) while returns on equity do not (6.2% to 14.1%). The conclusion survives, but it also means the price-to-book and price-to-earnings comparables are one view of this stock, not two, which is why they are weighted once between them.

These weights are a judgment, not a convention. The two methods grounded in what the business earns — the DCF and residual income — both land near \$150. Only the method grounded in what peers trade at says \$184, so I give the peer view the largest single weight without letting it carry a majority. Reweighting moves the answer less than you would expect: putting 60% on the most optimistic method still only reaches about \$170, and you would need roughly three-quarters of the weight there to justify a Buy.

The bear case

The bear case is not so much a recession as that the competition premium is structural rather than cyclical, and that I am calling a recovery that never arrives.

Affordability in Raleigh and Charlotte is now binding, so the marginal buyer can only be reached by moving down in price and specification. Every builder in those markets faces the same arithmetic and reaches the same conclusion at the same time. MHO controls 30,863 lots in the Southern region, 18,124 of them owned outright. Land bought for a \$500k product and sold into a \$440k market does not earn a 20% margin, and the \$41m of Southern write-offs in 2025 may be the first instalment rather than the last.

The rate backdrop does not help: the 30-year mortgage sits at 6.71% and the 30-year Treasury at 5.27%. The long end has been rising. If rates hold near 7% and Southern incentives ratchet higher, return on equity settles near 6.4%. The bull case rests on Sunbelt spec inventory clearing faster than I assume, and gets return on equity to 13.5%. I value both the same three ways as the base case, so the numbers are comparable rather than a separate judgement call.

Table 6: Scenarios, valued the same three ways as the base case

Scenario	2027E EPS	2028E ROE	Value	vs price	Peer earning that return today
Bull	\$17.33	13.5%	\$184	+24%	Toll Brothers (13.5% ROE, $1.53\times$ book)
Base	\$14.78	11.8%	\$164	+10%	D.R. Horton (12.3% ROE, $1.68\times$ book)
Bear	\$9.18	6.4%	\$90	-39%	Meritage (6.2% ROE, $0.87\times$ book)

What I find reassuring about this is that neither end of the range is an extrapolation into empty space. **Each scenario maps onto a builder that exists today.** The bear case has MHO earning 6.4% on equity — almost exactly what Meritage earns now, and Meritage trades at $0.87\times$ book. The bull case has it earning 13.5%, which is Toll Brothers' current return, and Toll trades at $1.53\times$ book. The base case sits close to D.R. Horton. So the question is not whether these multiples are achievable in the abstract; it is which of three real companies M/I Homes comes to resemble. That is a more concrete question than a range of price targets usually implies, and it is why I am comfortable with the spread being wide.

The skew is mildly unfavourable rather than symmetric — roughly +24% against -39% — and the bull case needs two independent things to go right at once: rates falling *and* Sunbelt supply clearing. That asymmetry is a large part of why this is a Neutral rather than a Buy.

What would change my mind, constructively: two consecutive quarters of Southern gross margin expansion with average selling price stable or rising. Negatively: further write-offs in the Southern land bank, or Southern average selling price falling below \$440k.

Sources and limitations

Claude Code assisted me with gathering data and writing code. Financial statements were copied from the FY2025 Form 10-K (filed 13 February 2026); segment revenue, cost and operating income come from its Note 12. Operating detail by region comes from the Q4 earnings releases for 2023, 2024 and 2025 and the Q2 2026 release. Consolidated figures were checked against SEC XBRL company facts and match to the dollar. Rates and house price indices are from FRED; prices and trailing multiples from stockanalysis.com on 4 September 2026. All forecasts are mine.

Two limitations are worth stating. MHO reports only two geographic segments, so Raleigh and Charlotte cannot be separated from Florida and Texas in public filings. “Southern” is the closest available proxy for the North Carolina question. And the financial services segment, about 13% of segment operating income, is valued inside the consolidated DCF rather than separately, which is a simplification rather than a strictly correct treatment.

Prepared as a personal analytical exercise, not investment advice. No position held.